as this thought may sound, it is exactly what you do when you choose life insurance. When you buy life insurance, you only win if you die early—the insurance pays off your dependants, which, in turn, could help close any debts you had and allow them to maintain their lifestyle.

As a buyer, you need to decide whether you want to take a chance that you will live to pay off your outstanding debts and achieve your other financial goals, or take a conservative position and accept that you might die earlier than expected. When you choose the latter, you will pay the insurance premiums to ensure that your family's financial future is undisturbed with your early death. In fact, life insurance is a gamble that you would happily lose each year when paying the premium, which is the money you need to pay annually (or in any other frequency or one time) for the policy to be active.

Like a gambler, an insurer agrees that money will change hands depending on what transpires at an unknown future date. The moment you view life insurance as a financial product that has the potential to financially protect your family's future financial needs, you are closer to seeing life insurance as it should be.

WHAT IS LIFE INSURANCE?

First and foremost, life insurance isn't for you—it's for your dependants such as your parents, spouse and children. In a nutshell, it will be the money that will help them pay off debts (if any), manage household bills, education costs and any other future expenses that they depended on you to provide. Life insurance can help you protect your family and dependants from financial hardship and debt when you are no longer there to provide for them.

THE PREMIUM PAID ON A LIFE INSURANCE POLICY QUALIFIES FOR TAX DEDUCTION UNDER SECTION 80C WITHIN THE Rs 1.5 LAKH ANNUAL LIMIT

All forms of life insurance work by spreading financial risk among a large group of people, who pay into a pool or fund with premiums towards the policies they take. The pooling concept is useful because not everyone is likely to die at the same time. Likewise, not everyone faces the same risks or takes the same quantum of cover. By pooling the money through premiums that policyholders pay, the payout due to unexpected deaths is managed.

Moreover, your life insurance policy is a contract between you and an insurer. You agree to pay a fee called a premium, and the insurer agrees to pay your beneficiaries an amount of money in case of your sudden demise, which is known as sum assured or sum insured. The payout, known as the death benefit, is generally a tax-free lump sum. The lump sum that your family receives could also be used to pay off any other financial goals that you may have included into the amount of cover you had taken.

HOW MUCH LIFE INSURANCE DO YOU NEED?

The logical step is to arrive at how much life insurance you need and which policy you should go for. The answers to both these questions aren't cut and dried. Some families may need a long-term life insurance policy but may not be able to afford it; others may need insurance cover only to protect certain aspects of their lives such as a huge debt. There are numerous types of life insurance policies, and there are many other attachments to them that you could include, which are known as riders.

The amount of cover you need needs to take into account several aspects such as current age, career prospects, dependants, income, debt and other financial obligations. A good way to arrive at the amount is by considering exactly what you will get from a life insurance policy and how much it would cost. Broadly, the amount of life cover you take can be arrived at through one of two methods—income replacement or expense replacement, including the debt you currently service.

There are merits and demerits in both cases, but it's a fair point to start working on the amount of insurance you need. The income replacement method is based on calculating the number of years your

IMPORTANCE OF LIFE INSURANCE

- Covers your financial commitments
- Allows your family to maintain their standard of living
- Allows you to leave a legacy

DO YOU NEED LIFE INSURANCE?

Not everyone needs life insurance. If you have no debts and no financial dependants, you do not need life insurance. However, you need life insurance if you answer in the affirmative to any of the following conditions

- You are in a committed relationship
- You have outstanding debts
- You have dependants
- Your family will not be able to manage financially without your income